harmful to you. They want you to be a consumer, not a producer. They want you to spend your money on Wall Street products.

Wall Street sells dreams, hopes, and pie in the sky. And it's not cheap. Its labor force tends to dress well. Investment professionals often go to the best schools. They are smart. They are presentable. They wear deodorant to cover the smell of fear. They wear makeup to mask the moral strain of flogging hopeless investments to people who, when it comes to investments, were born yesterday. They are not bad people. They are not dumb people. Neither saints nor sinners, they are just like the rest of us. But their industry encourages a huge fraud: that they are there to help you make money. They are not. They are there to help themselves make money. How? By taking it from you.

The financial industry is very large and very profitable. The service it pretends to provide is helping to match worthwhile investment projects with the capital they need. The service it actually provides is separating fools from their money. And a lot of it.

In the early 2000s, the top 25 hedge fund managers earned more money than all of the CEOs of the entire S&P 500 put together.[1] In other words, these hedge fund managers made 20 times as much, on average, as the people who ran America's top businesses. Few executives earned more than $100 million in public companies; Wall Street had nine times as many people in that category. Hedge funds, generally, are a bad place for your money. As Warren Buffett explained, they are not an investment category; they are a compensation system.

But so are a lot of things on Wall Street. Every public offering—and every public company—involves large teams of people in "finance." There are the lawyers, market makers, underwriters, researchers, analysts, clerks, secretaries, administrators, brokers, dealers, speculators, and venture capitalists. Armies of them. They travel by limousine, helicopter, and private jet. They have offices in the gleaming towers of Lower Manhattan. They eat at the finest restaurants and typically have large, luxurious homes on Long Island or in Connecticut. They take summer vacations in Europe. In winter, they go skiing in Vail or Sun Valley. And they need to be paid. All of that money has to come from clients.